

Name of the Programme: Bachelor of Commerce (B.Com Regular) Elective: Accounting & Taxation Name of the Course: Cost Management: 5.6		
Course Credits	No. of Hours per Week	Total No of Teaching Hours
4 Credits	(3+0+2) 04 Hrs	60 Hrs
Pedagogy: Lectures in the Classroom, Reading and analysis of annual reports of listed companies; writing assignment, seminar presentation, group discussion.		
Course Objectives - To help learners apply costing methods like marginal costing, ABC, and standard costing for managerial decision-making. - To equip students with skills to use digital tools and industry practices in budgeting, variance analysis, and cost control. - To develop analytical and strategic thinking for cost-related business decisions across various industries. - To align academic learning with industry expectations and professional courses like CA, CMA, and CS.		
Course Outcomes: CO1: Understand and differentiate modern cost management concepts and tools from traditional accounting approaches. CO2: Analyze business problems using marginal costing and CVP analysis for decision-making. CO3: Apply standard costing and variance analysis to evaluate and control performance. CO4: Develop costing models using Activity-Based Costing for better overhead allocation. CO5: Understand and apply transfer pricing methods in domestic and international scenarios using real-world data.		
Syllabus		Hours
Module No. – 1: FUNDAMENTALS OF COST MANAGEMENT		10
Introduction to Cost Management Definition, objectives, and scope Relationship between cost accounting, management accounting and financial accounting Cost concepts and classifications (fixed, variable, direct, indirect, etc.) Cost behavior and cost-volume-profit (CVP) analysis basics Cost Control and Cost Reduction Cost control: techniques and tools Cost reduction: concept and continuous improvement Kaizen costing basics Contemporary Trends in Cost Management: Strategic cost management overview Lean accounting and just-in-time (JIT) principles Environmental costing and sustainability considerations (Concepts only) Role of ERP and technology in cost management		
Module No. – 2: MARGINAL COSTING AND DECISION-MAKING		14

Introduction to Marginal Costing, Definition and meaning, Features and assumptions of marginal costing, Marginal cost vs. absorption cost Contribution, Meaning and importance of Cost-Volume-Profit (CVP) Analysis, Concept and assumptions Break-even analysis (BEA), Break-even point calculation (in units and sales value), Margin of safety and angle of incidence Profit-volume ratio (P/V ratio) and its applications, Application of Marginal Costing in Decision Making, Make or buy decisions, Accepting or rejecting special orders Product mix decisions (limiting factor analysis) Pricing decisions and profit planning Shut down decisions, Numerical Illustrations on Break-even calculations Contribution margin analysis Decision-making scenarios using marginal costing	
Module No. – 3: STANDARD COSTING AND VARIANCE ANALYSIS	12
Standard Costing Fundamentals Meaning, Objectives, Advantages and Limitations Setting Standards for Material, Labour, and Overheads ,Variance Analysis Techniques: Material Variances: Material Price Variance Material Usage Variance Material Mix and Yield Variance Labour Variances: Labour Rate Variance Labour Efficiency Variance Idle Time Variance Over head variance and Sales Variances Meaning and types (Concepts only) Practical Application Spreadsheet-Based Variance Reporting Integration of Variance Reports with ERP Software Case Analysis: Cost Control via Variance Reporting in Indian Manufacturing Firms	
Module No. -4: ACTIVITY BASED COSTING	12
Introduction to Activity-Based Costing (ABC), Concept and fundamentals of ABC Advantages of ABC over traditional costing Kaplan and Cooper's Approach to ABC Key principles and framework developed by Kaplan and Cooper, Cost Drivers and Cost Activities Identification and classification of cost drivers Understanding various cost activities in ABC, Allocation of Overheads under ABC Methods and process for overhead allocation using ABC Characteristics and Benefits of ABCD instinctive features of ABC Benefits in cost accuracy, decision making, and performance measurement Practical Problems and Comparisons, Solving numerical problems involving traditional costing and ABC Comparative analysis of costing results under both methods	
Module No. -5: TRANSFER PRICING	12
Meaning and definition of transfer pricing-Need and significance of transfer pricing in decentralized organizations - Objectives of transfer pricing: Relevance in domestic and international contexts - Methods of Transfer Pricing: Cost-Based Pricing Variable cost method Full cost and cost-plus pricing Pros and cons from divisional and group perspectives ,Market-Based Pricing External market price as transfer price Suitable conditions and limitations Negotiated Pricing Inter-divisional bargaining Use in absence of perfect market data Conflicts and coordination Comparative analysis and selection criteria of methods- Illustrations	
SKILL DEVELOPMENT ACTIVITIES 1. Prepare a chart comparing Financial Accounting, Cost Accounting, and Management Accounting 2. Calculate Break-Even Point for a Small Business (e.g., a bakery or bookstore) 3. Prepare a Variance Table for Material Costs using Sample Data	

4. List cost activities and possible cost drivers for a college canteen or stationery store
5. Create a short write-up (half page) explaining transfer pricing with one real-life example

REFERENCE BOOKS

1. S. N. Maheshwari & S. K. Maheshwari – *Cost and Management Accounting* – Vikas Publishing House
2. Dr. S. K. Gupta – *Management Accounting* – Sultan Chand & Sons
3. Dr. Ravi M. Kishore – *Cost Accounting and Financial Management* – Taxmann Publications
4. Dr. R. N. Arora – *Cost Accounting: Principles and Practice* – Vikas Publishing House
5. Dr. V. K. Saxena – *Cost Accounting* – Sultan Chand & Sons
6. Dr. B. K. Bhar – *Cost Accounting and Management Accounting* – Excel Books
7. Dr. S. P. Gupta – *Management Accounting* – Sultan Chand & Sons
8. Dr. R. K. Sharma & Shashi K. Gupta – *Management Accounting* – Kalyani Publishers
9. Dr. M. Y. Khan & P. K. Jain – *Management Accounting* – Tata McGraw Hill
10. Dr. Rajesh Kothari – *Cost and Management Accounting* – Taxmann Publications